Microeconomics
Sara Negrelli

L4

Consumer's problem

- The individual demand function of a good tells how many unit a **single** agent would buy for every possible price of the good

   - Where does this curve come from?

- Behind every point on the demand curve there is a more general consumer's problem

Consumer's Problem

- Consumer' s economic problem is to allocate limited funds to competing needs and desires to maximize his well being

- Chooses among **consumption bundles** - a combination of various goods - given a certain budget and prices

- <u>Trade-off:</u> Decision to consume more of one good is a decision to consume less of another

Consumer’s Problem

- We look at the consumer decision problem: what is the bundle that **maximizes his personal well-being**, given his budget and prices?
- We answer this question for every possible price of a good
  - This gives us the individual demand function for a good

Building blocks of the Consumer's Problem

To study the decision problem we need to study:

1. **Preferences**
   - What people like
   - According to what rules they rank alternatives (bundles)
     - A bundle of goods is the set of goods that an agent consumes in a certain period (we consider bundles of 2 goods for simplicity)
   - Translate preferences in utility functions
2. **Budget Constraints (next classes)**
   - What people can afford
3. **How consumers choose bundles for given prices**
4. **Build the demand curve: How consumers choose bundles for every possible price**